

ECONOMY TOPIC 7 — FINANCIAL MARKETS

Money market -> capital market -> trade -> clearing -> ownership

PANEL 1/12 — MARKET MAP

- SAVINGS / SURPLUS -> FINANCIAL CLAIM -> FUND-USER
- Households / firms / governments can appear on either side by instrument
- short liquidity price + risk working / capital
- MONEY MARKET <=1Y CAPITAL MARKET >1Y/equity
- Answer route: purpose -> maturity -> claim -> risk; never classify by name alone.

PANEL 2/12 — ISSUE VERSUS TRADE

- PRIMARY: issuer creates claim -> investor pays -> issuer/OFS seller receives
- SECONDARY: investor sells existing claim -> another investor pays
- liquidity + price discovery + exit
- Qualification: an IPO can mix a fresh issue and an offer for sale.

PANEL 3/12 — UNSECURED SHORT FUNDS

- CALL = overnight NOTICE = >1 day to 14 days
- TERM = >14 days to 1 year
- RBI Directions: 1 Apr 2021; updated 8 Jun 2023
- Trap: call/notice/term are unsecured; repo is collateralised.

DATED RULE — verify at current cutoff

PANEL 4/12 — COLLATERALISED LIQUIDITY

- Cash lender -> buys eligible security -> returns it on repurchase date
- Cash borrower <- receives funds <- repurchases at agreed price
- TREPS adds triparty services; CCIL supports CCP clearing.
- RBI market-repo Directions: 11 Nov 2025; excludes RBI LAF/MSF repo.

DATED RULE — verify at current cutoff

PANEL 5/12 — DISCOUNT AND NEGOTIABLE PAPER

- Gol: T-Bill 91/182/364d | CMB <91d
- Firm: CP 7d-1y, unsecured | short-term NCD 90d-1y, secured definition
- Bank: CD 7d-1y, demat; minimum Rs 5 lakh
- Trade: commercial bill = receivable; not a Treasury Bill.

DATED RULE — verify at current cutoff

PANEL 6/12 — SOVEREIGN DEBT AND YIELDS

- CENTRE: T-Bills + dated G-Secs STATES: SDLs; no T-Bills
- PRICE = present value of fixed cash flows
- required yield up -> price down; required yield down -> price up
- Coupon rate != current yield != YTM; duration measures sensitivity.

PANEL 7/12 — AUCTION AND DEALERS

- Notification -> competitive/non-competitive bids -> cut-off -> allotment
- UNIFORM: one cut-off price | MULTIPLE: accepted own-bid prices
- Primary Dealer: auction/underwriting role + secondary market making
- Retail access changes entry, not market-risk exposure.

PANEL 8/12 — CLAIMS AND ISSUANCE

- DEBT: contractual creditor claim | EQUITY: residual ownership
- SECURED / UNSECURED and CONVERTIBLE / NON-CONVERTIBLE are separate axes
- IPO first public offer | FPO listed issuer | RIGHTS existing holders
- PRIVATE PLACEMENT selected group | QIP listed issuer -> QIBs

PANEL 9/12 — TRANSACTION CHAIN

- ISSUER -> VENUE -> CLEARING -> SETTLEMENT -> DEPOSITORY RECORD
- exchange != OTC != ETP; electronic does not decide legal category
- CCP novation: buyer to seller / seller to buyer
- DvP links securities and funds; it does not remove every risk.

PANEL 10/12 — OWNERSHIP AND ACCESS

- Depositories Act §10: depository = registered owner for transfer only
- Investor = beneficial owner with substantive rights and liabilities
- NDS-OM: Direct | Indirect | Stock Broker Connect
- Directions 7 Feb 2025, updated 27 Apr 2026.

PANEL 12/12 — ANSWER SPINE

- CLAIM -> named dated rule/institution -> causal analysis -> qualification
- BENEFITS: liquidity | price discovery | transmission | capital formation
- RISKS: credit | duration | rollover | leverage | CCP/cyber concentration
- VERDICT: deepen access, disclosure and settlement resilience together.

PANEL 11/12 — REGULATION AND SETTLEMENT

- RBI: money market + G-Sec + payments | SEBI: public/listed securities
- T+1 = standard equity cash settlement
- Optional T+0: 28 Mar 2024 beta; 10 Dec 2024 expansion framework
- 30 Oct 2025: QSB timeline extended; T+0 is not universal instant settlement.

DATED RULE — verify at current cutoff